

POST MONEY VALUATION CAP

[COMPANY NAME]

India Simple Agreement for Future Equity (“iSAFE”)

THIS iSAFE is in respect of the investment by _____ (the “Investor”, which term shall mean and include (if *body corporate*) its successors and permitted assigns/ (if *individual*) his/her heirs, executors, administrators, successors-in-interest and permitted assigns) of Rupees _____ (Rupees _____ only) (the “Investment Amount”) on or about [Date of iSAFE] (“Effective Date”) in the Equity Linked Securities of [Company Name], a company incorporated under the laws of India having its registered office at [_____] (the “Company”, which term shall mean and include its successors and permitted assigns) of which the founders are (i) [●], son/daughter of [●], Indian national aged about [●] years, residing at [●]; and (ii) [●], son/daughter of [●], Indian national aged about [●] years, residing at [●] (collectively referred to as the “Founders” which term shall mean and include their respective heirs, executors, administrators, successors-in-interest and permitted assigns) , subject to the terms described below.

The “Post-Money Valuation Cap” is INR _____ (Rupees _____ only) See **Section 2** for certain additional defined terms.

1. Subscription Terms & Investor Rights

- (a) **Subscription of iSAFE Sequel Notes by Investor.** Subject to the terms and conditions of this iSAFE, the Investor has agreed to remit the Investment Amount into the designated bank account of the Company towards subscription of the iSAFE Sequel Notes, representing [●] % holding on as-if converted basis in the Company on the Effective Date, and the Company hereby agrees to issue and allot the required number of CCPS to the Investor, in consideration of the Investment Amount. The Company and the Founders shall jointly and severally ensure the completion of all filings, processes and actions as may be required under the Companies Act, 2013 and the rules thereunder to ensure the issue and allotment of the iSAFE Sequel Notes to the Investor.
- (b) **Conversion Terms.**
The iSAFE Sequel Notes shall convert into such number of Equity Shares calculated at a conversion ratio of 1:1 (“Conversion Factor”). Each iSAFE Sequel Note shall automatically be converted on the 20th anniversary of date of issuance of such iSAFE Sequel Notes or at any time at the discretion of the Investor into such number of fully paid Equity Shares as is determined pursuant to the Conversion Factor (“Conversion Shares”). The Conversion Factor shall be subject to standard adjustments for Anti-Dilution Protection, rights issue, share splits, share consolidation, etc.
- (c) **Equity Financing.** If there is an Equity Financing before the termination of this iSAFE, on the initial closing of such Equity Financing, the iSAFE Sequel Notes will, at the discretion of the Investor, convert as per the Conversion Terms specified in clause (b) above. It is hereby clarified that at the time of such Equity Financing, the Investor may at its discretion, continue to hold the iSAFE Sequel Notes, till its exit happens, upon which, conversion to the relevant number of Conversion Shares as mentioned above will take place at the sole discretion of the Investor.
- (d) **Liquidity Event.** If there is a Liquidity Event before the Conversion Date, the iSAFE Sequel Notes will automatically be entitled to receive a portion of Proceeds, due and payable to the iSAFE Sequel Note Holders immediately prior to, or concurrent with, the consummation of such Liquidity Event, equal to the greater of (i) the Investment Amount (the “Cash-Out Amount”) or (ii) the amount payable on the number of Equity Shares equal to the Investment Amount divided by the Liquidity Price (the “Conversion Amount”). If any of the Company’s security holders are given a choice as to the form and amount of Proceeds to be received in a Liquidity Event, the iSAFE Sequel Note Holders will be given the same choice, subject to applicable laws.
- (e) **Merger Event.** If there is a Merger Event before the Conversion Date, the holders of iSAFE Sequel Notes will, at the discretion of the Investor, be entitled to receive shares or securities of the other surviving or resulting entity immediately prior to, or concurrent with, the consummation of such Merger Event as if the iSAFE Sequel Notes represented, out of the pre money valuation of the Company in connection with the Merger Event, value equal to the higher of (i) the Investment Amount or (ii) the Conversion Value (defined below).
The right of the iSAFE Sequel Note Holders to receive shares or securities of the other surviving or resulting entity equal in value to the greater of the Investment Amount or Conversion Value as above, is on par with the right of holders of Equity Shares and other Equity Linked Securities who are entitled to receive shares or securities of the other surviving or resulting entity immediately prior to, or concurrent with, the consummation of such Merger Event.

- (f) **Dissolution Event.** If there is a Dissolution Event before the Conversion Date, the iSAFE Sequel Notes will automatically be entitled to receive a portion of Proceeds equal to the Cash-Out Amount, due and payable to the iSAFE Sequel Note Holders immediately prior to the consummation of the Dissolution Event.
- (g) **Liquidation Priority.** In a Liquidity Event or Dissolution Event, the iSAFE Sequel Note Holders' right to receive its Cash-Out Amount is:
- (i) Junior to payment of outstanding secured indebtedness and secured creditor claims;
 - (ii) On par with payments for other Equity Linked Securities, and if the applicable Proceeds are insufficient to permit full payments to the holders of iSAFE Sequel Notes and other Equity Linked Securities, the applicable Proceeds will be distributed pro rata to holders of iSAFE Sequel Notes and other Equity Linked Securities in proportion to the full payments that would otherwise be due; and
 - (iii) Senior to payments to the holders of Equity Shares.
- (h) **Termination.** This iSAFE will automatically terminate (without relieving the Company of any obligations arising from a prior breach of or non-compliance with this iSAFE) immediately following the earliest to occur of: (i) the issuance of Equity Financing Securities to the iSAFE Sequel Note Holders pursuant to the conversion of iSAFE Sequel Notes under Section 1(a) (*Equity Financing*); or (ii) the payment, or setting aside for payment, of amounts due to the iSAFE Sequel Note Holders pursuant to Section 1(b) (*Liquidity Event*) or Section 1(d) (*Dissolution Event*); or (iii) the receipt of shares or securities of the other surviving or resulting entity by the iSAFE Sequel Note Holders pursuant to Section 1(c) (*Merger Event*); or (iv) upon the Investor ceasing to hold any Equity Shares of the Company; or (v) with the mutual consent of the Company, the Founders and the Investor.
- (i) **Information Rights.** The Company and the Founders shall furnish to the iSAFE Sequel Note Holders the following information in relation to the Company:
- (i) monthly progress reports in respect of minimum viable product, revenues (count and value), product prototype and key hires, within 7 (seven) calendar days of the end of each month;
 - (ii) monthly, and year-to-date profit and loss statement within 45 (forty five) days from end of each quarter;
 - (iii) audited annual financial statements within 90 (ninety) days of the end of each financial year;
 - (iv) certificate from the Company (signed by CEO or a person having a designation of a similar rank) certifying compliance of applicable law by the Company, on a monthly and quarterly basis, within 15 (fifteen) calendar day of the end of each month or quarter, as the case may be; and
 - (v) any other information as may be on a daily, weekly, monthly or any periodical basis, as may be required by the iSAFE Note Holders, without unreasonable delay
- (j) **Anti-Dilution Protection.** In case of an anti-dilution event, including an event that the price at which the Company issues any new shares/ securities to a third party is lower than the price at which the Investor has subscribed to the iSAFE Sequel Notes hereunder, calculated on as-if converted basis, then the Investor shall be entitled to such number of additional shares (at any time after the subscription of/ issue of the new shares), at a price calculated in accordance with the standard broad-based weighted average anti-dilution formula. For the purpose of this Section, an anti-dilution event shall include occurrence of any event subsequent to the Effective Date, such as stock split, bonus issue, share dividends, consolidation of shares, combinations, recapitalization, etc., which has the potential to dilute the percentage of shareholding of the Investor as of the Effective Date.

2. **Definitions**

"Change of Control" means (i) a transaction or series of related transactions other than solely involving issue or allotment of securities by the Company in which any person or persons, directly or indirectly, becomes the beneficial owner of more than 50% of the outstanding voting securities of the Company having the right to vote for the election of directors on the Company's board of directors, or (ii) any reorganization, merger or consolidation of the Company, other than: (a) Merger Event; or (b) a transaction or series of related transactions in which the holders of the voting securities of the Company outstanding immediately prior to such transaction or series of related transactions retain, immediately after such transaction or series of related transactions, at least a majority of the total voting power represented by the outstanding voting securities of the Company or such other surviving or resulting entity, or (iii) a sale, lease or other disposition of all or substantially all of the assets of the Company;

"Company Capitalization" is calculated as at the initial close of the Equity Financing and (without double-counting):

- Includes all Equity Shares issued and outstanding;
- Includes all Equity Linked Securities;
- Includes Equity Financing Securities issued at initial close of Equity Financing;
- Includes all (i) issued and outstanding Options and (ii) Promised Options;
- Includes the Unissued Option Pool; and

- Excludes, notwithstanding the foregoing, any increases to the Unissued Option Pool (except to the extent necessary to cover Promised Options that exceed the Unissued Option Pool) in connection with the Equity Financing.

“Conversion Date” means the date on which the iSAFE Sequel Notes are converted into the Conversion Shares pursuant to Section 1(b).

“Conversion Value” means the value of the number of Equity Shares, calculated by dividing the Investment Amount by the Merger Price.

“Dissolution Event” means (i) a voluntary termination of operations of the Company, (ii) a general assignment for the benefit of the Company’s creditors or (iii) any other liquidation, dissolution or winding up of the Company (excluding a Liquidity Event or Merger Event), whether voluntary or involuntary.

“Dividend Amount” means, with respect to any date on which the Company pays a dividend on its outstanding Equity Shares, the amount of such dividend that is paid per share of Equity Shares multiplied by (x) the Investment Amount divided by (y) the Liquidity Price (treating the dividend date as a Liquidity Event solely for purposes of calculating such Liquidity Price).

“Equity Shares” means equity shares of the Company having a face value of Rs. 10/- (Rupees Ten only) each.

“Equity Financing” means a bona fide transaction or series of transactions with the principal purpose of raising capital, pursuant to which the Company issues and sells convertible preference shares or Equity Shares, in either case, at a fixed valuation, including but not limited to, a pre-money or post money valuation.

“Equity Financing Price” means the lowest price per share of the Equity Financing Securities sold in the Equity Financing

“Equity Financing Securities” means the shares of the series of convertible preference shares or Equity Shares, in either case, issued to the investors investing new money in the Company in connection with the initial closing of the Equity Financing.

“Equity Linked Securities” means any options, warrants, convertible preference shares or other convertible securities, including the iSAFE Notes, issued by the Company that are, in each case, convertible into Equity Shares.

“Initial Public Offering” means a firm underwritten initial public offering of the Equity Shares (including depository receipts), either domestic or overseas, of the Company and consequent listing of the Equity Shares of the Company on domestic or internationally recognised stock exchanges, either:

- (a) Through a public issue of fresh Equity Shares, or
- (b) an offer of existing Equity Shares by some or all the shareholders of the Company; or
- (c) a combination of (a) and (b).

“iSAFE Sequel Notes” means the (Series 2 of 0.0001% compulsorily convertible preference shares of the Company of a face value of INR 10 (Indian Rupees Ten only) each, to be issued at a share premium of INR ____, having the rights set out in this iSAFE.

“iSAFE Sequel Note Holder” means the holder of iSAFE Sequel Note(s).

“Liquidity Capitalization” is calculated as of immediately prior to the Liquidity Event or Merger Event, as applicable, and (without double- counting):

- Includes all Equity Shares issued and outstanding;
- Includes all (i) issued and outstanding Options and (ii) to the extent receiving Proceeds, Promised Options;
- Includes all Equity Linked Securities, other than any convertible securities (including without limitation preference shares) where the holders of such securities are receiving Cash-Out Amounts or similar liquidation preference payments in lieu of Conversion Amounts or similar “as-converted” payments; and
- Excludes the Unissued Option Pool.

“Liquidity Event” means a Change of Control or an Initial Public Offering.

“Liquidity Price” means the price per share equal to the Post Money Valuation Cap divided by the Liquidity Capitalization.

“Merger Event” means any reorganization, merger, demerger or consolidation of the Company, in which the holders of the Equity Shares and Equity Linked Securities of the Company outstanding immediately prior to such transaction are receiving only shares of another surviving or resulting entity.

“Merger Price” means the price per share equal to the fair market value of a Equity Share at the time of the Merger Event, determined by reference to the pre money valuation of the Company in connection with such Merger Event.”

“Options” includes employee stock options, employees stock purchases, RSUs, SARs, warrants or similar securities, vested or unvested.

“Parties” means the Founders, Investor and the Company collectively and the term **“Party”** means the Founders, Investor and the Company individually.

“Proceeds” means cash and other assets (including without limitation shares, securities) that are proceeds from the Liquidity Event or the Dissolution Event, as applicable, and legally available for distribution.

“Promised Options” means promised but ungranted Options that are the greater of those (i) promised pursuant to agreements or understandings made prior to the execution of, or in connection with, the term sheet for the Equity

Financing (or the initial closing of the Equity Financing, if there is no term sheet), or (ii) treated as outstanding Options in the calculation of the Equity Financing Securities price per share.

“**Unissued Option Pool**” means all Equity Shares that are reserved, available for future grant and not subject to any outstanding Options or Promised Options (but in the case of a Liquidity Event, only to the extent Proceeds are payable on such Promised Options) under any equity incentive or similar Company plan.

3. **Company and the Founders Representations**

As on the date of execution of this iSAFE and the date of allotment of iSAFE Sequel Notes, the Company and the Founders hereby jointly and severally represent and warrant as follows:

- (a) The Company is a company duly organized, validly existing and in good standing under the laws of India, and has the power and authority to own, lease and operate its properties and carry on its business as now conducted.
- (b) The execution, delivery and performance by the Company of this iSAFE is within the power of the Company and has been duly authorized by all necessary actions on the part of the Company (subject to section 3(d)). This iSAFE constitutes a legal, valid and binding obligation of the Company, enforceable against the Company in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity. To its knowledge, the Company is not in violation of (i) its current Memorandum of Association and Articles of Association, (ii) any material statute, rule or regulation applicable to the Company or (iii) any material debt or contract to which the Company is a party or by which it is bound, where, in each case, such violation or default, individually, or together with all such violations or defaults, could reasonably be expected to have a material adverse effect on the Company.
- (c) The performance and consummation of the transactions contemplated by this iSAFE do not and will not: (i) violate any material judgment, statute, rule or regulation applicable to the Company; (ii) result in the acceleration of any material debt or contract to which the Company is a party or by which it is bound; or (iii) result in the creation or imposition of any lien on any property, asset or revenue of the Company or the suspension, forfeiture, or nonrenewal of any material permit, license or authorization applicable to the Company, its business or operations.
- (d) No consents or approvals are required in connection with the performance of this iSAFE, other than: (i) the Company's corporate approvals including the consents required to be obtained under the Companies Act 2013 and rules made thereunder; (ii) any qualifications or filings under applicable laws; and (iii) necessary corporate approvals for the authorization of Equity Linked Securities issuable pursuant to Section 1.
- (e) To its knowledge, the Company owns or possesses (or can obtain on commercially reasonable terms) sufficient legal rights to all patents, trademarks, service marks, trade names, copyrights, trade secrets, licenses, information, processes and other intellectual property rights necessary for its business as now conducted and as currently proposed to be conducted, without any conflict with, or infringement of the rights of, others.
- (f) The issuance and allotment of the iSAFE Sequel Notes shall be made in compliance with all applicable laws.

4. **Investor Representations**

As on the date of execution of this iSAFE and the date of allotment of iSAFE Sequel Notes, the Investor hereby represents as follows:

- (a) The Investor has full legal capacity, power and authority to execute and deliver this iSAFE and to perform its obligations hereunder. This iSAFE constitutes valid and binding obligation of the Investor, enforceable in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity.
- (b) The Investor is making the investment and the Equity Linked Securities to be acquired by the Investor hereunder for its own account for investment, not as a nominee or agent, and not for the account of any person whatsoever, and not with a view to, or for resale in connection with, the distribution thereof, and the Investor has no present intention of selling, granting any participation in, or otherwise distributing the same. The Investor has such knowledge and experience in financial and business matters that the Investor is capable of evaluating the merits and risks of such investment, is able to incur a complete loss of such investment without impairing the Investor's financial condition and is able to bear the economic risk of such investment for an indefinite period of time.

5. **Miscellaneous**

- (a) Any rights attached to iSAFE Sequel Notes may be amended, waived or modified by mutual written consent of the Company, Founders and either (i) the Investor, where the Investor is the sole iSAFE Sequel Note Holder or (ii) a Special Resolution of holders of iSAFE Sequel Notes, *provided that* such amendment, waiver or modification treats all such iSAFE Sequel Note Holders in the same manner. “Special Resolution” refers to resolution of the holders of the iSAFE Sequel Notes, who hold not less than 75% of all the then outstanding iSAFE Sequel Notes.
- (b) Any notice required or permitted by this iSAFE will be deemed sufficient when delivered personally or by overnight courier or sent by email to the relevant address listed on the signature page, or 48 hours after being dispatched by registered mail with postage prepaid, addressed to the party to be notified at such party's address listed on the signature page, as subsequently modified by written notice.

- (c) Save and except set forth in Section 5(a) above, the holders of iSAFE Sequel Notes are not entitled to vote or be deemed holders of Equity Shares for any purpose, nor will anything in this iSAFE be construed to confer on the iSAFE Sequel Note Holders, as such, any rights of a Company shareholder or rights to vote for the election of directors or on any matter submitted to Company shareholders, or to give or withhold consent to any corporate action or to receive notice of meetings, until Conversion Shares have been issued on the terms described in Section 1. The iSAFE Sequel Notes shall carry a right to non cumulative dividend @ 0.0001%. However, if the Company pays a higher dividend on outstanding Equity Shares while the iSAFE Sequel Notes are outstanding, the Company will instead pay the Dividend Amount to the iSAFE Sequel Note Holders at the same time.
- (d) This iSAFE shall inure to the benefit of and be binding upon the Parties, their successors-in-interest and permitted assigns. The terms in this iSAFE with respect to the iSAFE Sequel Notes are *rights in rem* attached to the iSAFE Sequel Notes, and may be assigned by the iSAFE Sequel Note Holder to any other person or entity without the Company's or the Founders' consent, and the Company and the Founders shall be bound by its respective obligations under this iSAFE with respect to each assignee / transferee of the iSAFE Sequel Notes as if such assignee / transferee was a party to this iSAFE. The Founders and the Company shall not be permitted to assign any of their rights or obligations hereunder, without the prior written consent of the Investor. Notwithstanding anything contained in this iSAFE or the Articles of Association of the Company, iSAFE Sequel Note Holders shall be entitled to freely transfer the iSAFE Sequel Notes subject to lock-in restrictions, if any, under the applicable laws.
- (e) In the event any one or more of the provisions of this iSAFE is for any reason held to be invalid, illegal or unenforceable, in whole or in part or in any respect, or in the event that any one or more of the provisions of this iSAFE operate or would prospectively operate to invalidate this iSAFE, then and in any such event, such provision(s) only will be deemed null and void and will not affect any other provision of this iSAFE and the remaining provisions of this iSAFE will remain operative and in full force and effect and will not be affected, prejudiced, or disturbed thereby.
- (f) **Confidentiality**. No announcement or disclosure of the interest of the Investor relating to the Company shall be made or indicated by any Party without the prior written consent (which may include consent given by facsimile or email transmission) of the Investor, unless such announcement or disclosure is required by applicable laws or by any governmental authority or court of competent jurisdiction or other authority with relevant powers to whose rules such Party is subject, in which case, reasonable notice should be given to the Investor so as to afford the Investor an opportunity to take such action as may be necessary to comply with applicable legislation or regulations.
- (g) **Non-disparagement**. The Company and the Founders, covenant and agree jointly and severally that, beginning as of the date hereof, neither they nor any of their agents, subsidiaries, affiliates, officers, directors, employees, shareholders and advisors or attorneys shall in any way, directly or indirectly, alone or in concert with others, cause, express or cause to be expressed in a public manner, orally or in writing, any remarks, statements, comments or criticisms that disparage, call into disrepute, defame, slander or which can reasonably be construed to be defamatory or slanderous to the Investor or its settlors, trustees, investment manager, affiliates, successors, assigns, officers, employees, agents, attorneys or representatives of the Investor.
- (h) **Indemnity**. Without prejudice to any other right available to the iSAFE Sequel Note Holder under applicable law, the Company and the Founders shall jointly and severally defend, indemnify and hold harmless the iSAFE Sequel Note Holder from and against any and all losses, liabilities, damages, deficiencies, demands, claims (including third party claims), actions, judgments or causes of action, assessments, interests, fines, penalties, and other costs or expenses (including, without limitation, amounts paid in settlement, court costs and all reasonable attorneys' fees and out of pocket expenses suffered or incurred by the iSAFE Sequel Note Holder directly based upon, resulting from, or, arising out of, any misrepresentation or breach or inaccuracy of or default in connection with any of the applicable laws, representations, warranties, covenants, obligations and agreements of the Company and the Founders under this iSAFE.
- (i) **Further Actions**. The Parties shall do or cause to be done such further acts, deeds, matters and things and execute such further documents and papers including amendment to the Articles of Association of the Company as may reasonably be required to give effect to the terms of this iSAFE. For this purpose, the Company shall and the Founders shall cause the Company to amend the Articles of Association of the Company to include the provisions set out in this iSAFE, before subscription of the iSAFE Sequel Notes in a form and substance acceptable to the iSAFE Sequel Note Holder¹.
- (j) This iSAFE and its interpretation and all the rights and obligations hereunder will be governed by the laws of India. Subject to the arbitration provisions in Section 5(k) below, the courts in Mumbai shall have sole and exclusive jurisdiction in case of any disputes or matters arising under or pursuant to this iSAFE.

¹ The amendment of Articles is a condition precedent to the subscription. However the amendments would be **effective** from the date of allotment of iSAFE sequel Note. This effectiveness would need to be specifically mentioned in the resolution for amendment of articles.

- (k) Any dispute, controversy, claims or disagreement of any kind whatsoever between or among the Parties in connection with or arising out of this iSAFE or the breach, termination or invalidity thereof shall be settled by mediation within a period of 30 (thirty) days. If the Parties fail to resolve the dispute amicably within such period, the dispute, controversy, claims or disagreement shall be referred to arbitration to be conducted by a mutually appointed sole arbitrator. The arbitration shall be governed by the [Indian] Arbitration and Conciliation Act, 1996 (or any statutory amendment or re-enactment thereof) and the rules made thereunder. The seat and venue of arbitration shall be Mumbai. The language of arbitration shall be English. The arbitrator's award shall be final and binding on the Parties to the dispute.
- (l) This iSAFE may be executed in any number of counterparts, all of which together constitute 1 (one) and the same agreement and any party may enter into this Agreement by executing a counterpart. The Parties agree that email transmission of a signature page executed by DocuSign by a Party shall constitute due execution of this Agreement by such Party. Further the Parties also agree that the delivery of signed counterparts by electronic mail in "portable document format" (".pdf") shall be as effective as signing and delivering the counterpart in person.
- (m) If any terms or provisions of this iSAFE shall be held to be invalid or unenforceable for any reason whatsoever, such invalidity shall not affect the validity or enforceability of the remaining provisions hereof.

IN WITNESS WHEREOF, the undersigned have caused this iSAFE to be duly executed and delivered on the date set out above.

[COMPANY]

By: _____
[Name & Designation]
Address: _____
Email: _____

INVESTOR:

By: _____
[Name & Designation]
Address: _____
Email: _____

FOUNDERS:

By: _____
[name & Designation]
Address: _____
Email: _____

By: _____
[name & Designation]
Address: _____
Email: _____